BLVCKSHELL

FACILITIES EXECUTION & ACCOUNTABILITY OPERATOR

ONTARIO REGIONAL BUSINESS PLAN

Confidential – Bank & Investor Review

Q1 2026

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Executive Summary

01

BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Summary for Lenders and Reviewers

What we do. We are a facilities execution and accountability operator for multi-residential and light commercial properties in Ontario. We operate in the friction layer between cleaning vendors and licensed trades: recurring cleaning (common areas, garbage rooms, stairwells, washrooms), unit turnovers, turnover readiness audits, light maintenance (non-licensed, non-permit), and facilities support. Revenue is contract-based; pilot programs reduce client friction and convert to recurring contracts. We do not sell technology; we run a service business with an internal audit and workflow system for quality and documentation.

Where we operate. Launch market is Windsor, Ontario. Expansion is opportunity-driven into other Ontario cities (100,000–400,000 population). No speculative geography; new cities only when contract and capacity justify. Ontario-only; no national expansion.

Financial profile. Year 1 target 2–4 sites; monthly run rate by Month 12 of $8,000–$18,000; full-year revenue $35,000–$95,000. Revenue ramp is back-weighted (meaningful revenue from Month 4 onward). Margin target 25% (acceptable 20–30%; floor 15% under stress). Add-ons and maintenance minimum 30%. No founder salary in Year 1.

Risk controls. Strict contract terms and scope; tier-level margin gates; light maintenance explicitly non-licensed and non-permit; WSIB, HST, and insurance from day one; working capital and LOC sized for 30–45 day AR and slow ramp. Detailed failure scenarios and mitigations in Section 08.

Capital ask. A modest line of credit ($15,000–$25,000) for working capital only—AR bridge and startup supplies/payouts. Not growth financing. Amount and terms in Section 11.

Discipline Summary

Margin discipline: Target 25%; no contract below 20% unless documented exception. Add-on/maintenance ≥ 30%. Payout ceilings and site-level review enforce this.

Risk discipline: Revenue concentration, margin pressure, maintenance scope, regulatory, and liquidity are identified and mitigated; explicit corrective actions if growth lags or margin compresses (Section 08).

Optional exit: At scale (e.g. 15+ cities or 75+ sites), the business may be attractive as an acquisition or recap target; not a projection. See Section 13.

This plan is for internal strategy, bank LOC discussion, and future investor review. Projections are conservative and risk-aware.

FINANCIAL SUMMARY

$54,400

YEAR 1 REVENUE (BASE CASE)

$13,600

YEAR 1 GROSS PROFIT

25%

TARGET MARGIN

1 Site

BREAK-EVEN

$15K–$25K

LOC REQUESTED

REVENUE MIX (BLENDED EXAMPLE)

RECURRING	60%
TURNOVER	15%
MAINTENANCE	15%
FACILITIES	5%
PILOT	5%

MARGIN BY TIER (TARGET)

CLEANING	25%
TURNOVER	≥25%
MAINTENANCE	≥30%
PILOTS	30–40%

Company Overview

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BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Legal structure, management, and operating philosophy.

Legal and Jurisdiction

Legal name	Blvckshell Incorporated (as registered in Ontario)
Jurisdiction	Ontario, Canada
Structure	Incorporated Ontario corporation
Stage	Pre-revenue; initial launch phase. Target first contract start: Q2 2026.

Management Profile

Banks and investors lend to people as well as to plans. The founder brings over 10 years of supervisory experience in logistics, shipping, and manufacturing: workforce supervision, production scheduling, process optimization, KPI tracking, and cost control. Facilities services rely on route discipline, quality control, subcontractor coordination, and margin management—areas aligned with this background. The Blvckshell model reflects this: margin governance, checklist enforcement, payout ceilings, and documented scope control. The founder has consulted with an experienced commercial cleaning operator (10+ years). The company is intentionally subcontractor-heavy in Year 1; founder compensation is deferred during launch. Subcontractor classification is addressed through written agreements and compliance with CRA and Ontario employment standards (Section 08 and Appendices).

Business Model

Blvckshell provides recurring cleaning, unit turnovers, turnover readiness audits, light maintenance (non-licensed), and facilities support under contract. Clients are property management companies, condominium corporations, and building owners. Pilot programs offer low-friction entry with conversion to recurring contracts. An internal audit and workflow system is used for assignments, evidence, approvals, and documentation; it is not a separate product or revenue line.

Service Focus (Five Tiers)

- **Tier 1:** Recurring cleaning of common areas (lobbies, hallways, elevators, washrooms, garbage rooms, stairwells).
- **Tier 2:** Unit turnovers (full turnover cleaning, inspection-ready).
- **Tier 3:** Turnover readiness audits (inspection only; photo documentation).
- **Tier 4:** Light maintenance (non-licensed, non-permit: hardware, bulbs, caulking, touch-ups, filters).
- **Tier 5:** Facilities support and coordination (vendor oversight, reporting).

Out of scope: Licensed trades, permit-required work, structural work; unit interiors as open-ended recurring unless under contract; construction cleanup unless separate margin-compliant contract.

Operating Philosophy

Conservative	No speculative hiring or geography; growth follows signed contracts.
Margin-disciplined	Target 25% gross margin; floor 15% under stress; add-ons above 30%.
Subcontractor-heavy initially	Labour capacity via vetted subcontractors to limit fixed payroll in Year 1.
No founder salary in Year 1	Founder compensation deferred to preserve cash and align with break-even focus.
Low fixed overhead	Office, admin, and tooling kept minimal until revenue supports them.

Initial Market and Expansion

Initial market: Windsor, Ontario. **Expansion:** Opportunity-driven; other Ontario cities in the 100,000–400,000 population range. Contract-first; no expansion into a new city without a contract or firm commitment. Cities in scope for planning include Windsor, Sarnia, London, Kitchener-Waterloo, Cambridge, Guelph, Barrie, Kingston. Toronto is not an initial target.

Technology and Governance

Internal audit and workflow system: job assignment, completion evidence, approvals, audit trail. Internal use only; not licensed or sold. The company maintains books and records suitable for bank and investor review: P&L, cash flow, balance sheet, and site-level economics.

MARGIN GOVERNANCE

25%
TARGET MARGIN

20–30%
ACCEPTABLE RANGE

15%
STRESS FLOOR

30%
ADD-ON MINIMUM

Market Analysis

03

BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Ontario multi-residential demand and conservative addressable scope.

Overview

The market consists of property managers, condominium corporations, and building owners who contract for common-area cleaning, unit turnovers, turnover readiness, light (non-licensed) maintenance, and facilities coordination. Demand is recurring and contract-based for cleaning; turnover and maintenance are recurring or project-based. The company addresses the friction layer between cleaning-only vendors and licensed trades. Estimates below are conservative and derived from building counts, typical contract values, and industry norms.

City Size Segmentation (100,000–400,000 Population)

Focus cities are Ontario Census Agglomerations and smaller CMAs in the 100,000–400,000 population range. Toronto and Ottawa are excluded from initial targeting.

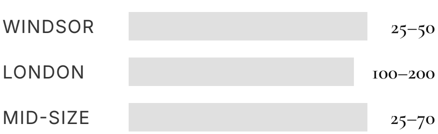
CITY / CA	POPULATION (APPROX)	MULTI-RESIDENTIAL BUILDING ESTIMATE
Windsor	230,000–330,000	~50–60 condo complexes; ~8,000 occupied condo units (common areas)
London	380,000–420,000	250–500 buildings
Kitchener-Cambridge-Waterloo	550,000+	400–700 buildings
Kingston	170,000–180,000	80–180 buildings
Sarnia	70,000–95,000	40–120 buildings
Barrie	210,000–250,000	120–280 buildings
Guelph	130,000–150,000	60–150 buildings

Building estimate = structures with common areas that could reasonably contract for dedicated common-area cleaning. Counts are conservative.

Addressable Buildings (Conservative Share)

Windsor	~50–60 condo complexes → 25–50 addressable
London	250–500 → 100–200
Mid-size (e.g. Kingston, Guelph)	60–180 → 25–70
Larger (e.g. KW)	400–700 → 150–280

ADDRESSABLE BUILDINGS BY CITY (CONSERVATIVE RANGE)



The Condominium Authority of Ontario reports 13,000+ condo corporations and nearly 948,000 residential condo units provincially. No total addressable market (TAM) dollar figure is stated; the plan relies on winning a small number of contracts (e.g. 2–4 in Year 1) in one city.

Fragmentation and Pricing

Supply side: many small and mid-size local operators; a smaller number of regional or national chains. Pricing and service quality vary widely. Many competitors exhibit inconsistent QA, weak documentation, reactive reclean handling, poor billing discipline, or thin insurance/compliance. Target for Windsor mid-size common-area cleaning: $2,500–$4,000/month based on local rate indicators and typical scope.

Labour and Regulatory

Ontario minimum wage applies; total labour cost includes payroll burden or subcontractor markup. Retention assumption: 80–85% renewal rate. Launch timeline: target first contract start Q2 2026. WSIB mandatory; HST collected and remitted; commercial general liability and other coverages as required by clients (e.g. $2M–$5M). Ontario law governs contracts.

Service Architecture

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Five tiers, scope-locked; margin-governed.

Core Identity

We are a facilities execution and accountability operator for multi-residential and light commercial properties in Ontario. Differentiation: accountability, documentation, scope discipline, vendor consolidation, portfolio readiness. The company does not position as full-service contractor, general contractor, or handyman service.

Five Tiers (Summary)

Tier 1 — Recurring cleaning: Common-area cleaning; scheduled frequency; checklists and evidence; margin gate 25%.

Tier 2 — Unit turnovers: Full turnover cleaning, inspection-ready; per unit; margin ≥ 25%.

Tier 3 — Turnover readiness audits: Inspection only; photo documentation; margin ≥ 30%; pipeline to Tier 1/2/4.

Tier 4 — Light maintenance: Door hardware, bulbs, caulking, touch-ups, filters; strictly non-licensed, non-permit. $55–75/hr or flat-rate; margin ≥ 30%. Explicit exclusions in Section 08.

Tier 5 — Facilities support: Vendor oversight, reporting; retainer or per-event; margin ≥ 25%.

SERVICE TIER STRUCTURE (FOUNDATION UP)

Tier 5	Facilities support	≥25%
Tier 4	Light maintenance	≥30%
Tier 3	Turnover audits	≥30%
Tier 2	Unit turnovers	≥25%
Tier 1	Recurring cleaning	25%

Margin Requirements by Tier

Recurring cleaning	25% (floor 20%)
Unit turnovers	≥ 25%
Turnover audits	≥ 30%
Light maintenance	≥ 30%
Facilities support	≥ 25%
Pilots	30–40%

Definitive Scope

Will do: Common area and elevator cleaning; unit turnovers; turnover readiness audits; light maintenance (bulb, hardware, caulking, touch-ups, filter checks); facilities support and coordination.

Won't do: Licensed trade work; major plumbing, electrical, or HVAC repairs; any permit-required or structural work.

Contract Structure

Term typically 12 months for recurring; pilots and one-time under fixed-scope agreements. Pricing: fixed monthly, per unit, per hour, or per event; adjustments only by written amendment. Pilots: prepaid or deposit; no net-30 for pilot work.

SITE-LEVEL ECONOMICS

PER SITE PER MONTH (BASE CASE)

MARGIN WATERFALL

Revenue	$2,800
Labour (ceiling)	–$1,890
Supplies	–$140
Other direct	–$70
Gross profit	$700

Revenue	$2,800
Direct Costs	$2,100
Gross Profit	$700
Gross Margin	25%

Competitive Landscape

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BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Fragmented supply; differentiation through discipline.

Market Structure

The Ontario multi-residential facilities services space is fragmented: cleaning-only operators, handyman or trade-only providers, and a gap in between. Segments: local independents; regional operators (5–20+ sites; rarely integrated cleaning + turnover + light maintenance + audits); national/large regional chains; in-house; licensed trades (Blvckshell refers and coordinates). The company positions in the friction layer. Windsor/Essex competitive set includes local commercial cleaning and facility providers. Differentiation is scope discipline, documentation, and multi-service integration rather than price alone.

Competitive Weakness Patterns

Common patterns: inconsistent QA; poor documentation; reactive reclean handling; weak billing discipline; thin compliance; overpromise on geography or capacity. Response: checklists, evidence, clear scope, reclean policy at 30%+ margin, WSIB/HST/insurance from day one, contract-first expansion.

Barriers and Positioning

Capital: low for labour-only start; working capital and LOC matter more. Defensibility: disciplined contract acceptance, structured margin enforcement, and documentation standards. The company does not position as full-service contractor, general contractor, or handyman service.

Operations Model

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BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Subcontractor-heavy delivery; capacity and QA structure.

Subcontractor Model

Initial delivery is subcontractor-heavy. Blvckshell retains client relationship, contract, pricing, QA, and billing; subcontractors are paid per agreed rate (payout ceiling) so gross margin is preserved. Selection: vetted for reliability, compliance (WSIB, insurance), and willingness to follow scope and documentation. Written agreement covers scope, rate, payment terms, insurance/WSIB, confidentiality. Payout ceiling: maximum labour cost per site or per visit set so gross margin stays within 20–30% (target 25%) for cleaning; ≥ 30% for maintenance. Classification safeguards: subcontractors may have other clients; Blvckshell defines scope and outcomes but avoids employment-like control.

Capacity and Routing

Productive hours per worker per month: 100–132. Sites per FTE depend on visit frequency and size; conservative planning uses 8–12 sites per FTE. Same city first in Year 1; clustering where possible; no speculative routing.

Organization Evolution

Year 1 (0–4 sites)	Founder only; subcontractors
Year 2 early (4–6)	Founder + optional part-time coordinator
Year 2 mid (6–10)	Founder + 0.5–1 FTE operations; second city possible
Year 3 (10–18)	Founder + 1 FTE operations; optional part-time admin
Year 4–5 (18–30)	Ops manager; optional city/regional lead; admin
Scale (15+ cities, 75+ sites)	Central ops; regional/city leads; finance/reporting

OPERATIONAL FLOW

CONTRACT → ASSIGNMENT → VISIT → REVIEW → BILLING → PAYMENT

QA, Reclean, Incident, Billing

QA: contract and site schedule define scope; per-visit checklist; evidence as required; supervisor spot-checks; recleans when standard not met. Reclean: required when visit does not meet checklist; cost included in base (limited) or billed as add-on at 30%+ margin. Incident: report → document → notify client/insurer → follow-up → record. Billing: invoices per contract terms; target 30 days (45 where required); scope changes require written change order.

Operational KPIs (Monthly Review)

Revenue per site; gross margin per site (target 20–30%; alert below 20%); reclean rate; AR days (target 30–45); payout ratio (within ceiling); renewal rate (target 80%+); site count. Maintenance and pilot KPIs tracked separately.

Sales & Growth

07

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Contract-first; density before geography; pilots as pipeline.

Strategy Principles

Contract-first: no new city or large commitment without a signed contract or firm commitment. Density before geography: Windsor built to stable base (e.g. 2–4 sites) before second city. Margin discipline: no contract below 20% gross margin (15% floor only under documented stress); add-ons at 30%+. No speculative hiring.

Expansion Doctrine (Single Reference)

Density before geography	Windsor (and any first city) at stable base (e.g. 2–4 sites) before opening a second city.
Contract trigger	New city only when there is a signed contract or firm commitment.
Capacity-led	Hiring and subcontractor onboarding follow confirmed or near-confirmed work.
No national narrative	Ontario regional only in the planning horizon.
Second city	Only when (a) at least one signed contract or firm commitment in that city, and (b) existing city stable at 4+ sites or revenue supports added complexity.

Pilot Program

Pilots reduce friction: limited scope, fixed price, clear success criteria. Prepaid or 50%+ deposit; no net-30 for pilots. Five types: Unit Turnover Pilot ($550–$850/unit); Problem Building Cleaning Pilot ($1,200–$2,000 one-time); Light Maintenance/Punch-List (6–10 labour hours); Turnover Readiness Audit; Building Reset/Seasonal Refresh. Pilot gross margin 30–40% (conservative 30%); conversion rate 30–50% to recurring within 12 months.

PILOT CONVERSION FUNNEL (CONSERVATIVE)

LEADS
↓
QUALIFIED
↓
PROPOSED
↓
SIGNED PILOT
↓
RECURRING (30–50%)

Sales Process and Growth Model

Lead generation → qualification → proposal → negotiation within margin guardrails → contract →

$8K–$18K/month run rate, 2–4 sites, one city. Year 2: 4–10 sites, 1–2 new cities when justified. Year 3: 8–18 sites. No hockey stick. Retention: 12-month term with renewal; marketing minimal in Year 1.

CONTRIBUTION AT SCALE

GROSS PROFIT PER SITE (25% MARGIN, $2,800/SITE/MONTH)

1 Site	**$8,400**
5 Sites	**$42,000**
10 Sites	**$84,000**
15 Sites	**$126,000**

Risk & Compliance

08

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Explicit triggers and corrective actions.

Failure Scenarios and Corrective Actions

Slow ramp	Fewer than 2 sites by Month 6 → Intensify outreach in Windsor; no new geography; extend runway (zero founder salary, minimal overhead).
Site loss	One or two sites exit → Replace via pipeline; if replacement lags, draw LOC; do not add fixed cost until revenue recovers.
Margin compression	Gross margin below 20% → Identify cause; reprice at renewal or re-scope; exit site if margin cannot be restored in one renewal cycle.
Cash shortfall	Cash out exceeds cash in 2+ months → Draw LOC; if insufficient, defer non-critical overhead; do not defer WSIB, insurance, or payroll.
LOC declined	Operate on cash only; slow ramp (1–2 sites max until cash flow positive).

RISK MATRIX (LIKELIHOOD VS IMPACT)

	LOW IMPACT	HIGH IMPACT
LOW LIKELIHOOD	Regulatory gap	AR delay; Subcontractor failure
HIGH LIKELIHOOD	Margin compression; Reclean cost	Cash shortfall; Site loss

Insurance and WSIB

WSIB: registered and active before first worker or subcontractor performs work. CGL and other insurance: in place before first contract; typical requirement $2M+ general liability. HST: registered before first taxable supply.

Maintenance Risk Controls (Tier 4)

Exclusions (no exceptions): No licensed trades; no permit-required work; no structural modifications; like-for-like only for replacements. Scope document per job; evidence logging; trade-required work flagged and excluded. Subcontractor insurance and scope acknowledgment required.

Risk Categories (Summary)

terms, retention focus, written scope and change-order process, working capital/LOC.

Operational: Subcontractor failure; labour availability; quality failure; incident. Mitigation: vetting, agreement, backup capacity; QA, checklist, evidence, reclean policy; incident process, WSIB and insurance.

Margin/financial: Margin compression; reclean cost; cash flow; overhead creep. Mitigation: pricing and payout ceiling; target 25%, floor 15%; working capital, LOC, no founder salary Year 1.

Regulatory: WSIB, HST, insurance, contract law. Mitigation: coverage from day one; Ontario-law contracts, scope and terms in writing.

Financial Model

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BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Revenue Categories and Margin Targets

Revenue tracked in five categories: (1) Recurring cleaning — 25% gate, floor 20%. (2) Turnover cleaning — ≥ 25%. (3) Maintenance — ≥ 30%. (4) Facilities support — ≥ 25%. (5) Pilot revenue — 30–40% (conservative 30%).

Margin Governance (Consolidated)

Target gross margin 25%. Acceptable range 20–30%; documented exception and time limit if outside. Stress floor 15%. Add-on minimum 30%. Enforcement: contract acceptance gate; payout ceiling per site; site-level review; no blending to hide poor contracts.

Pricing Engine and Site-Level Economics

Site-level revenue assumption: each site generates monthly contract value. Pricing set so that after labour (payout ceiling), supplies, and site-specific costs, gross margin is 20–30% (target 25%). Monthly contract value per site: $2,500–$4,000 Windsor target; base case uses $2,800. Example per site per month: Revenue $2,800; subcontractor payout (ceiling) $1,890; supplies $140; other direct $70; gross profit $700; gross margin 25%.

Blended Margin and Unit Economics

Example blend: recurring cleaning 60% @ 25%; turnover 15%; maintenance 15% @ 30–35%; facilities 5%; pilot 5% → blended ~26.5%. Per site annualized: revenue $33,600; direct cost $25,200; gross profit $8,400. At $8,400/year overhead (Year 1), one site breaks even.

Key Assumptions (No Optimism Bias)

Gross margin target	25%
Acceptable range	20–30%
Stress floor	15%
Add-on minimum	30%
Supplies % of revenue	4–6% (e.g. 5%)
Founder salary Year 1	$0
Sites Year 1	0–4 (base 2–3)
AR timing	30–45 days
Retention (renewal rate)	80–85%
Pilot conversion	30–50% (conservative)

Overhead and Payout Logic

Year 1 fixed overhead: $5,500–$11,000 (mid-range $8,400 for base case). No office lease or full-time admin in Year 1. CapEx allowance $1,000–$3,000 Year 1. Payout ceiling = Revenue × (1 − Target margin) − Supplies − Other direct; example $1,890 max labour per site.

3-Year Forecast

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BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Base case ramp, three-year scenarios, break-even.

12-Month Base Case

Months 1–3: 0–1 site; first contract may close Month 2–3. Months 4–6: 1–2 sites. Months 7–12: 2–4 sites; base case 3 sites by Month 12. Monthly contract value per site $2,800; gross margin 25%; COGS 75% of revenue. Fixed overhead $700/month ($8,400/year).

MONTH	SITES	REVENUE	COGS	GROSS PROFIT	OVERHEAD	NET P&L	CUMULATIVE
1	0	0	0	0	700	(700)	(700)
2	0	0	0	0	700	(700)	(1,400)
3	0.5	1,400	1,050	350	700	(350)	(1,750)
4	1	2,800	2,100	700	700	0	(1,750)
5	1	2,800	2,100	700	700	0	(1,750)
6	1.5	4,200	3,150	1,050	700	350	(1,400)
7	2	5,600	4,200	1,400	700	700	(700)
8	2	5,600	4,200	1,400	700	700	0
9	2.5	7,000	5,250	1,750	700	1,050	1,050
10	3	8,400	6,300	2,100	700	1,400	2,450
11	3	8,400	6,300	2,100	700	1,400	3,850
12	3	8,400	6,300	2,100	700	1,400	5,250
Total	—	54,400	40,800	13,600	8,400	5,200	5,250

Cash flow lags by AR (30–45 days). Peak LOC draw in illustrative 45-day AR scenario ~$18,000–$19,000.

Three-Year Scenarios

SCENARIO	Y1 SITES	Y1 REVENUE	Y1 NET P&L	Y2 SITES	Y2 REVENUE	Y2 EBITDA	Y3 SITES	Y3 REVENUE	Y3 EBITDA
Low	2	38,000	1,100	5	95,000	(7,000)	8	155,000	(5,000)
Base	3	54,400	5,200	8	155,000	2,750	14	260,000	13,000
High	4	72,000	9,000	12	225,000	8,250	20	365,000	16,250

Projected Balance Sheet (Base Case, Illustrative)

LINE ITEM	END Y1	END Y2	END Y3
Cash	3,000	8,000	25,000
Accounts receivable	6,000	12,000	22,000
Other current	1,000	2,000	3,000
Total current assets	10,000	22,000	50,000
Fixed assets (net)	2,000	4,000	6,000
Total assets	12,000	26,000	56,000
LOC outstanding	5,000	0	0
Accounts payable	2,000	4,000	6,000
Total current liabilities	7,000	4,000	6,000
Retained earnings (cumulative)	5,000	8,000	45,000
Other equity	0	14,000	5,000
Total equity	5,000	22,000	50,000

Break-Even

Without founder salary: fixed costs $8,400; break-even revenue = $33,600 annual (~$2,800/month) = one site at target margin. With founder salary $36,000: break-even revenue = $177,600 (~5–6 sites at $2,800/month).

Sensitivity (Summary)

10% revenue drop: net P&L falls to ~$3,840. 5% margin compression (20% margin): net P&L ~$2,480. 30-day AR delay: liquidity strain; ~$4,500–$5,500 extra cash need. Combined stress: net P&L ~$1,392; working capital/LOC essential.

Capital Structure & LOC

II

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Working capital only; AR bridge and ramp.

Purpose of Request

The line of credit is requested to smooth cash flow against: receivables timing (30–45 days); slow revenue ramp (minimal cash in Months 1–3); seasonal or one-time timing gaps. The LOC is not for growth capital, equipment financing, or speculative expansion. Use limited to working capital.

Working Capital Need

AR timing: 30–45 days of revenue; at $8,400/month run rate (3 sites), 45 days ≈ $12,600 outstanding. Ramp: Months 1–4 cumulative shortfall can reach $5,000–$15,000. Buffer: $2,000–$5,000. Total illustrative need: $15,000–$25,000.

LOC Structure (Proposed)

Facility type	Revolving line of credit
Limit	$15,000–$25,000 (to be confirmed with lender)
Use	Working capital only: payables, subcontractor payouts, overhead
Repayment	From operating cash flow as receivables collect; revolving
Security	As required by lender (e.g. GSA; no real property unless required)

Corporate facility in company name; personal guarantee if required by lender. Not for: founder salary Year 1, speculative marketing, new geography without contract.

Scalability Model

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BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Capacity Framework

Productive hours per FTE per month 110; average hours per site per month 22; sites per FTE ≈ 5 (conservative). Monthly revenue per site $2,800; gross margin 25%. Buildings per city: 40–80 addressable (conservative).

Scale Stages

SCALE	CITIES	SITES	TEAMS (FTE)	ANNUAL REVENUE (RANGE)	GROSS PROFIT (25%)	COMPLEXITY
1 city	1	4–8	1–2	$134K–$269K	$34K–$67K	Low
3 cities	3	14–22	3–5	$470K–$739K	$118K–$185K	Medium
7 cities	7	35–55	7–11	$1.18M–$1.85M	$294K–$462K	High
15 cities	15	75–120	15–24	$2.52M–$4.03M	$630K–$1.01M	Very high

Inflection points: 1 city — founder-led or single coordinator. 3 cities — need 0.5–1 FTE ops/coordination. 7 cities — dedicated operations role. 15 cities — multi-layer; finance and reporting investor-ready; exit optionality becomes realistic if execution and margins are strong.

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Exit Optionality

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Scope

This section describes typical valuation frameworks and conditions that support or impair value. It does not promise an exit, a specific valuation, or a timeline. Optionality is narrative only.

Valuation Multiples (Typical)

EBITDA 3–6x for regional, owner-operated service businesses. Revenue 0.3–1.0x when EBITDA is thin. Rule of thumb 4–5x EBITDA for mid-market service businesses with consistent margins and documented operations.

Conditions That Increase vs. Reduce Value

Increase: Recurring revenue and retention; documented systems and QA; margin discipline (20–30% gross); clean financials; diversified client base; management depth.

Reduce: Revenue concentration; margin erosion; weak documentation; compliance gaps; founder dependency; inconsistent reporting.

Financial Reporting Discipline

To maximize optionality, the company will maintain: P&L by period; cash flow; site-level or contract-level view; balance sheet; audit trail. Reporting need not be audited in Year 1–2 but must be consistent and credible.

EBITDA Scenario (Year 3, Illustrative)

Low case (negative EBITDA): no meaningful multiple. Base case ~$13,000 EBITDA → 4x $52,000, 5x $65,000. High case ~$16,250 → 4x $65,000, 5x $81,250. At 10 / 25 / 75 sites: 10 sites → EBITDA ~$24,000 → valuation 3–5x $72K–$120K; 25 sites → ~$60,000 → 3–6x $180K–$360K; 75 sites → ~$230,000 → 4–6x $920K–$1.38M. No exit or timeline implied.

Appendices

14

BLVCKSHELL — ONTARIO REGIONAL FACILITIES OPERATOR

Definitions, formulas, regulatory summary, assumption glossary.

A. Key Financial Definitions

Revenue	Contract value earned in the period (accrual).
COGS	Direct cost: labour, supplies, other direct site costs.
Gross profit / margin	Revenue − COGS; margin = gross profit / revenue.
Overhead	Fixed operating expenses not allocated to a single site.
EBITDA	Earnings before interest, tax, depreciation, amortization.
Working capital	Short-term assets minus short-term liabilities.

B. Margin Formulas

Gross margin = (Revenue − COGS) / Revenue. At target 25%, COGS = 0.75 × Revenue. Payout ceiling = Revenue × (1 − Target margin) − Supplies − Other direct. Break-even revenue = Fixed costs / Gross margin % (e.g. $8,400 / 0.25 = $33,600).

C. Capacity Formulas

Sites per FTE = Productive hours per FTE per month / Hours per site per month. Productive hours per FTE per month ≈ 110. Teams required = Total sites / Sites per FTE (rounded up).

D. Regulatory Summary (Ontario)

WSIB: coverage and reporting for applicable workers; subcontractors own coverage or principal. HST: cleaning services generally taxable; collect and remit. Insurance: CGL and other as required by clients ($2M–$5M). Contract law: Ontario law; written agreements; scope, price, term, termination clear. Employment/subcontractor: correct classification per CRA and employment standards; agreements in writing.

E. Assumption Glossary

Gross margin target 25%; range 20–30%; stress floor 15%; add-on minimum 30%. Supplies 4–6% of revenue. Founder salary Year 1 $0. Sites Year 1 0–4 (base 2–3). Monthly revenue per site illustrative $2,800; Windsor target $2,500–$4,000. AR timing 30–45 days. Break-even without founder $33,600 (~1 site); with founder $36K, $177,600 (~5–6 sites). Retention 80–85%. LTV (5-year, $2,800/site) $42,000 gross profit per site. CAC illustrative $1,500–$3,000 per site.

F–J. Additional Appendix Reference

Document index (sections 01–14); KPI dashboard structure; pilot conversion funnel; organization chart evolution; lender-ready risk disclosure addendum. Full detail in source business plan documents.